PORTFOLIO CONSTRUCTION PRINCIPLES

Learning Outcome

- describe the principles of portfolio construction and the role of asset allocation in relation to the IPS

The strategic asset allocation in itself does not yet represent an actual investment portfolio. It is the first step in implementing an investment strategy. For quantitatively oriented portfolio managers, the next step is often risk budgeting.

As used in this reading, **risk budgeting** is the process of deciding on the amount of risk to assume in a portfolio (the overall risk budget) and subdividing that risk over the sources of investment return (e.g., strategic asset allocation, tactical asset allocation, and security selection). Because the decision about the total amount of risk to be taken is made in constructing the IPS, at this stage we are concerned about the subdivision of that risk.

Apart from the exposures to systematic risk factors specified in the strategic asset allocation, the returns of an investment strategy depend on two other sources: tactical asset allocation and security selection. **Tactical asset allocation** is the decision to deliberately deviate from the policy exposures to systematic risk factors (i.e., the policy weights of asset classes) with the intent to add value based on forecasts of the near-term returns of those asset classes. For instance, an investor may decide to temporarily invest more of the portfolio in equities than the SAA prescribes if the investor anticipates that equities will deliver a higher return over the short term than other asset classes. **Security selection** is an attempt to generate higher returns than the asset class benchmark by selecting securities with a higher expected return. For example, an investment manager may decide to add more IBM stock in her portfolio than the weight in her equity benchmark if she expects this stock to do better than the benchmark. To fund this purchase, she may sell another stock expected to do worse than either the benchmark or IBM. Obviously, deciding to deviate from policy weights or to select securities aiming to beat the benchmark creates additional uncertainty about returns. This risk is over and above the risk inherent in the policy portfolio. Hence, an investment policy should set risk limits and desired payoffs for each of these three activities.

Risk budgeting implies that the portfolio manager has to choose, for every asset class, whether to deploy security selection as a return generator. This choice is generally referred to as the choice between active or passive management. Contrary to strategic asset allocation, where exposures to sources of systematic risk are selected and sized, security selection is not rewarded with a long-run payoff to risk. Security selection is a zero-sum game: All investors in an asset class are competing with each other to identify a typically limited number of assets that are misvalued. In total, the gross returns of all market participants average out to the market return (the reward for taking systematic risk). This implies that the average active investor will match the market return and that one investor's gain versus the market return is the other investor's loss versus the market return. Because active managers tend to trade more and have to pay people (including themselves) to generate investment ideas or information leading to such ideas, however, the average active manager will underperform the market, net of costs. This fact does not imply that there are no skillful investment managers who, with some consistency, beat their benchmarks. Neither does it imply that all passive managers will be able to match the benchmark. The higher the turnover of an index, the more trading costs a passive manager will incur, making the task of matching the return of an index more difficult.

The likelihood of adding a significant amount of value from security selection depends on the skills of the manager and the informational efficiency of the market for the asset class

the more skillful an asset manager has to be to add value. Broadly speaking, an efficient market is a market in which prices, on average, very quickly reflect newly available information. That requires a sizeable participation of investors trading risk against expected return, acting on rational expectations, using the same or similar pricing models, and having equal opportunities to access relevant information. Clearly, the market for US large-capitalization equities would be quite efficient. By contrast, some regional bond and equity markets do not have the technical and regulatory systems for information dissemination that are sufficient to serve all investors on a timely basis. Skilled managers should be able to exploit the resulting inefficiencies.

Sometimes the choice between active and passive management is actually made implicitly when the asset class is included in the asset allocation. The markets for some assets—such as those for non-listed real estate and infrastructure assets—are so illiquid that it is very difficult to buy a diversified exposure. As a result, participating in that market is not possible without engaging in security selection.

As the portfolio is constructed and its value changes with the returns of the asset classes and securities in which it is invested, the weights of the asset classes will gradually deviate from the policy weights in the strategic asset allocation. This process is referred to as drift. Periodically, or when a certain threshold deviation from the policy weight (the bandwidth) has been breached, the portfolio should be rebalanced back to the policy weights. The set of rules that guide the process of restoring the portfolio's original exposures to systematic risk factors is known as the **rebalancing policy**. Even absent a formal risk budget, formulating a rebalancing policy is an important element of risk management, as the following example illustrates.

EXAMPLE 11

Strategic and Tactical Asset Allocation for a European Charity

A European charity has an asset allocation at the beginning of the year consisting of the asset classes and weights shown in Exhibit 11.

Exhibit 11: Asset Allocation of a European Charity (beginning of year)

Asset Class	Policy Weight	Corridor (+/–)	Upper Limit	Lower Limit
European equities	30.0%	2.0%	32.0%	28.0%
International equities	15.0%	2.0%	17.0%	13.0%
European government bonds	20.0%	2.0%	22.0%	18.0%
Corporate bonds	20.0%	2.0%	22.0%	18.0%
Cash and money market instruments	15.0%	2.0%	17.0%	13.0%
Total	100.0%			

As Exhibit 11 reveals, the charity has a policy that the asset class weights cannot deviate from the policy weights by more than 2% (the corridor). The resulting upper and lower limits for the asset class weights are shown in the rightmost columns of the table. There are two reasons for asset class actual weights to deviate from policy weights: by deliberate choice (tactical asset allocation or market timing) and as a result of divergence of the returns of the different asset classes (drift). In this example, the asset class weights start the year exactly in line with policy weights.

After half a year, the investment portfolio is as shown in Exhibit 12.

Asset Class	Policy Weight	Corridor (+/–)	Upper Limit	Lower Limit	Period Return	Ending Weight
European equities	30.0%	2.0%	32.0%	28.0%	15.0%	32.4%
International equities	15.0%	2.0%	17.0%	13.0%	10.0%	15.5%
European government bonds	20.0%	2.0%	22.0%	18.0%	0.5%	18.9%
Corporate bonds	20.0%	2.0%	22.0%	18.0%	1.5%	19.1%
Cash and money market instruments	15.0%	2.0%	17.0%	13.0%	1.0%	14.2%
Total	100.0%				6.6%	100.0%

1. Discuss the returns of the portfolio and comment on the main asset weight changes.

Hide Solution

Solution to 1:

The investment portfolio generated a return calculated on beginning (policy) weights of 6.55%, rounded to 6.6% (= 0.30 × 15% + 0.15 × 10% + 0.20 × 0.5% + 0.20 × 1.5% + 0.15 × 1.0%), mainly driven by a strong equity market. Bond returns were more subdued, leading to considerable drift in asset class weights. In particular, the European equity weight breached the upper limit of its allowed actual weight.

2. The investment committee decides against reducing European equities back to policy weight and adding to the fixed income and cash investments toward policy weights. Although this rebalancing would be prudent, the committee decides to engage in tactical asset allocation based on the view that this market will continue to be strong over the course of the year. It decides to just bring European equities back to within its bandwidth (a 32% portfolio weight) and add the proceeds to cash. Exhibit 13 shows the outcome after another half year.

Exhibit 13:

Asset Allocation for a European Charity (an additional six months later)

Asset Class	Policy Weight	Starting Weight	Corridor (+/–)	Upper Limit	Lower Limit	Period Return	Ending Weight
European equities	30.0%	32.0%	2.0%	32.0%	28.0%	–9.0%	29.7%
International equities	15.0%	15.5%	2.0%	17.0%	13.0%	–6.0%	14.9%
European government bonds	20.0%	18.9%	2.0%	22.0%	18.0%	4.0%	20.0%
Corporate bonds	20.0%	19.1%	2.0%	22.0%	18.0%	4.0%	20.2%
Cash and money market instruments	15.0%	14.6%	2.0%	17.0%	13.0%	2.0%	15.2%
Total	100.0%					–2.0%	100.0%

The prior decision not to rebalance to policy weights did not have a positive result. Contrary to the investment committee's expectations, both European and

How much of this return can be attributed to tactical asset allocation?

Hide Solution

Solution to 2:

Because tactical asset allocation is the deliberate decision to deviate from policy weights, the return contribution from tactical asset allocation equals the difference between the actual return and the return that would have been made if the asset class weights were equal to the policy weights. Exhibit 14 shows this difference to be −0.30%.

Exhibit 14: Returns to Tactical Asset Allocation

Asset Class	Policy Weight I	Starting Weight II	Weights Difference III (= II – I)	Period Return IV	TAA Contribution V(= III × IV)
European equities	30.0%	32.0%	2.0%	–9.0%	–0.18%
International equities	15.0%	15.5%	0.5%	–6.0%	–0.03%
European government bonds	20.0%	18.9%	–1.1%	4.0%	–0.05%
Corporate bonds	20.0%	19.1%	–0.9%	4.0%	–0.04%
Cash and money market instruments	15.0%	14.6%	–0.4%	2.0%	–0.01%
Total	100.0%			–2.0%	–0.30%

The process of executing an investment strategy continues with selecting the appropriate manager(s) for each asset class and allocating funds to them. The investment portfolio management process is then well into the execution stage.

The investment managers' performance will be monitored, as well as the results of the tactical and strategic asset allocation. When asset class weights move outside their corridors, money is transferred from the asset classes that have become too large compared with the SAA to those that fall short. Managers as well as the strategic asset allocation will be reviewed on the basis of the outcome of the monitoring process. In addition, capital market expectations may change, as may the circumstances and objectives of the client. These changes could result in an adjustment of the strategic asset allocation.

New Developments in Portfolio Management

The portfolio planning and construction framework presented so far relies on a somewhat rigid process. Nonetheless, there are two newer, less structured developments that deserve specific mention.

The first development is the growth in the offering of exchange traded funds, or ETFs, in combination with algorithm-based financial advice (or robo-advice). ETFs are funds that track the performance of an asset class index or sub-index, are easily tradable, and are relatively cheap compared with actively managed funds or managed accounts. The broad array of ETF offerings, covering the main equity and fixed-income indices as well as commodities, enable retail investors to obtain fast, inexpensive, and liquid exposure to asset classes. Robo-advice has further reduced the costs for retail investors to create a well-diversified portfolio.

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volatilities. Some market participants argue that poor investment portfolio results reflect the sensitivity of modern portfolio theory-based portfolio construction methodologies to small errors in return forecasts or estimated correlations. In response, practitioners developed an investment approach where asset classes were weighted according to risk contribution. This approach is known as *risk parity investing*. Proponents of risk parity investing argue that traditionally constructed portfolios have considerable risk from equities. That is, the typically high (60% or more) weight of equities in institutional portfolios understates the risk impact: equities tend to be much more volatile than fixed income. Opponents of risk parity argue that following the global financial crisis of 2007–2009, favorable results of risk parity portfolios were caused by the long period of decline in interest rates that benefited bond market performance.

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